

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY (CHARUSAT)
MASTER OF BUSINESS ADMINISTRATION (MBA) /
POST GRADUATE DIPLOMA IN MANAGEMENT (PGDM)
SEMESTER – I – UNIVERSITY EXAMINATION, MARCH 2018
MB702.2: Critical Thinking and Case Analysis (Old)
MB702.3: Critical Thinking and Case Analysis (New)

Date: 28/03/2018 (Wednesday)

Time: 01:30PM to 04:30PM

Maximum Marks: 70

Instructions:

1. This paper contains six questions.
2. All questions are compulsory.
3. Each of the first five questions will carry 10 marks totaling to 50 marks. Question No. 6 is a case analysis carrying 20 marks.

1 - Read the case / article / sets of information carefully:

Investigations into the Punjab National Bank fraud have found that some employees had created assets and maintained bank accounts abroad which the management and investigators suspect could be related to the Nirav Modi scam at the state-run lender, four people close to the development told ET. PNB is considering initiating legal proceedings against errant employees to recover any money that they would have made illegally and parked abroad, they said.

“While only a few employees have been named till now, more employees could be involved in the fraud. They don’t feel guilty as the fraud is committed by many others earlier. The bank has been intimidated about the development,” one of the people said. *(Use this information to identify the Fallacy in an argument)*

The bank has sought legal opinion as to how it could go about in this issue. “Investigating agencies like CBI and ED do not have jurisdiction outside India and may not be able to recover the money. A legal strategy is being put in place as to how to deal with the employee situation,” another person involved in the discussions said.

PNB didn’t respond until press time Tuesday to an email seeking comment. The bank has mandated accounting firm BDO India to conduct a forensic audit in the Nirav Modi case, where the diamond merchant is accused of defrauding PNB of Rs 13,600 crore.

It had asked BDO to trace the assets not just of Nirav Modi, but also of its employees, said a banker. “If most of the work is being done by the investigative agencies and lawyers, then a civil proceeding against errant employees is a thought for now,” the banker added.



“There are professional asset tracing agencies which may be able to identify where

proceeds of the alleged crime are parked. PNB can file criminal cases claiming quid pro quo between their employees and Nirav Modi's company causing wrongful losses to the bank,” said Zulfikar Memon, Managing Partner of law firm MZM Legal. But recovering the money won't be easy. “It would be tough to recover these assets because in most instances people don't create assets in their own name outside India. PNB will have to eventually prove in the court of law that a conspiracy was hatched by their employees against the bank and that the bank is a victim,” said Memon. CBI has named 11 accused in the case that include seven employees of PNB, Nirav Modi and his uncle Mehul Choksi and an employee each of Modi's Firestar International and Choksi's Gitanjali Gems.

Investigators also suspect some former employees of Nirav Modi helped the others in round-tripping the money. All fraud employees helped the others in round-tripping the money. Hence, all former employees of Nirav Modi can be referred as fraud. *(Use this information for identifying the validity of argument using Categorical Logic)*

“Former employees in India suddenly go outside the country, set up another company and become customers of the domestic company,” said an official with knowledge of the matter. “This foreign company now not only places huge orders, but mandates that they would pay only when they are able to actually sell the product to the customer.”

People are greedy for money. One way out is to commit fraud. Hence people who are greedy for money can commit fraud. *(Use this information for identifying the validity of argument using Propositional Logic)*

Investigators have also discovered that in several instances, suppliers to the Indian entity of Nirav Modi were also listed as creditors to the companies he owned in the US. This, say people in the know, raises suspicion of round-tripping. ET had, on March 7, reported that the bankruptcy declarations by Nirav Modi's companies — Firestar Diamond Inc. A Jaffe Inc and Fantasy Inc — may offer some clues to where the money went in the fraud, when compared with the FIR filed by the CBI.

“This (round-tripping) would not have been possible without active involvement of PNB officials. I believe that the scam was the doing of some middle-level employees. In addition some of the senior level executive of PNB must be aware of this,” an official investigating the case told ET. *(Use this information for diagramming short arguments)*

Source: <https://economictimes.indiatimes.com/industry/banking/finance/banking/pnb-fraud-bank-likely-to-slap-civil-case-on-errant-staff-linked-to-nirav-modi/articleshow/63390892.cms>

Based on the above, you are required to answer the following questions (Q. No.: 1-5):

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|-----|---|---|------|----|
| Q-1 | A | Identify two major arguments related to Nirav Modi Scam. | (04) | 10 |
| | B | State the Premise(s) and Conclusion(s), for the arguments under consideration. | (04) | |
| | C | Highlight the Indicator words (written and hidden) for your premises. | (02) | |
| Q-2 | A | State the validity or invalidity of the argument used ‘in favour of people who are greedy for money’ using Propositional Logical Framework / Truth Tables. | (05) | 10 |
| | B | Diagram the short argument related to ‘round-tripping’ discussed in the given case by identifying and stating the nature of the premises. | (05) | |
| Q-3 | A | Validate the <i>categorical argument</i> present in the given case in relation to ‘the help by former employees of Nirav Modi in round-tripping of the money’ using Venn diagram. | (05) | 10 |
| | B | Identify and classify the <i>fallacious argument</i> from the case. Justify your answer. | (05) | |

- Q-4** **A** Write the summary of the case clearly depicting the decisions areas. (05)
- B** *Identify and classify* an argument belonging to deductive pattern of reasoning (*excluding the categorical and propositional argument*) or inductive pattern of reasoning. Justify your answer. (05)
- Q-5** Perform SWOT analysis for the given case / set of information. **10**
- Q-6** **# 2 - Read the case / article / sets of information carefully:** **20**

Public sector banks should be privatized now when they dominate the market share before their value is eroded by "creeping privatization", Infosys Chairman and the architect of Aadhaar Nandan Nilekani said on Tuesday.

He said the choice is obvious because it's a choice between privatization -- which would benefit the taxpayer and the state -- and a creeping privatization. Nilekani said the pace at which the public sector banks are losing market share has been estimated by to be four per cent a year. "Today, the market share of public sector banks is 70 per cent. So in 10 years, this share is going to become very small and may eventually be reduced to something like 10 per cent," Nilekani told IANS.

He said this happened in the telecom sector as well where the big four telecom companies - all private - dominate, and BSNL is a small player. "It's also happening in airlines where they are now talking about privatization of Air India." So rather than to wait for that situation to arise while the public sector banks still dominate the market share, I feel it's a good idea to let them be free and owned by public," Nilekani said.

He added that another reason for public sector banks to be privatized is the increasing role technology is playing in the banking sector. "Technology has now become so critical to business success in banks. Getting this technology right is a very complex task which requires huge talent which may be a challenge in public sector banks," he said. "So all the more reason why they should be privatized so the tax payer gets some value upside out of that."

Head of the Kotak Mahindra Bank Uday Kotak added while the public sector banks hold the major share of the market, the growth in the banking sector is now dominated by private players. "In the next five years, the 70-30 ratio of public and private banks will move to 50-50 ratio," Kotak said. This means a four per cent increase in the market share per year compared to one per cent per year currently. Kotak said this huge jump in the market share will be driven by digital technology, Aadhaar based electronic KYC (Know your customer) and data driven lending. "Aadhaar is not just for last mile payments but will change the face of finance. KYC through Aadhaar is the future of where finance will go," he said.

Nilekani said that Unified Payments Interface (UPI) is going to be another game-changer and by December this year, UPI transactions will cross one billion mark making it the largest payment system in the country.

Source: <https://economictimes.indiatimes.com/industry/banking/finance/banking/privatise-public-sector-banks-before-its-too-late-nandan-nilekani/articleshow/63385482.cms>

You are required to answer / identify the following:

- a)** Classify the given Information on the scale of relevance (1 - 5 where 1 stands for Not at all Relevant and 5 stands for Most Relevant) and missing information, if any. You may use scale for missing categories too. (10)
- b)** Apply the various steps involved in case analysis to arrive at decision of Privatization of Public sector banks. (10)